

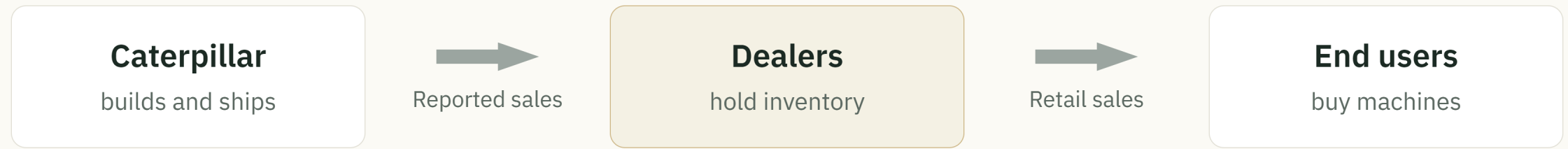
Caterpillar demand quality

Was 2026 Construction Industries growth driven by real end-user demand, or by dealer restocking?

THE QUESTION

Reported sales measure shipments to dealers, not demand from customers

Construction Industries reported sales grew 38.1% in Q1 2026 and 34.8% in Q2. Both figures count machines shipped to dealers.



The difference between the two arrows is dealer inventory. Growth that stops there reverses when dealers stop restocking; growth that reaches end users does not. Caterpillar discloses both figures every quarter and never reconciles them.

THE FINDING

The mix shifted materially toward end-user demand in Q2 2026

\$1.5B → \$400M

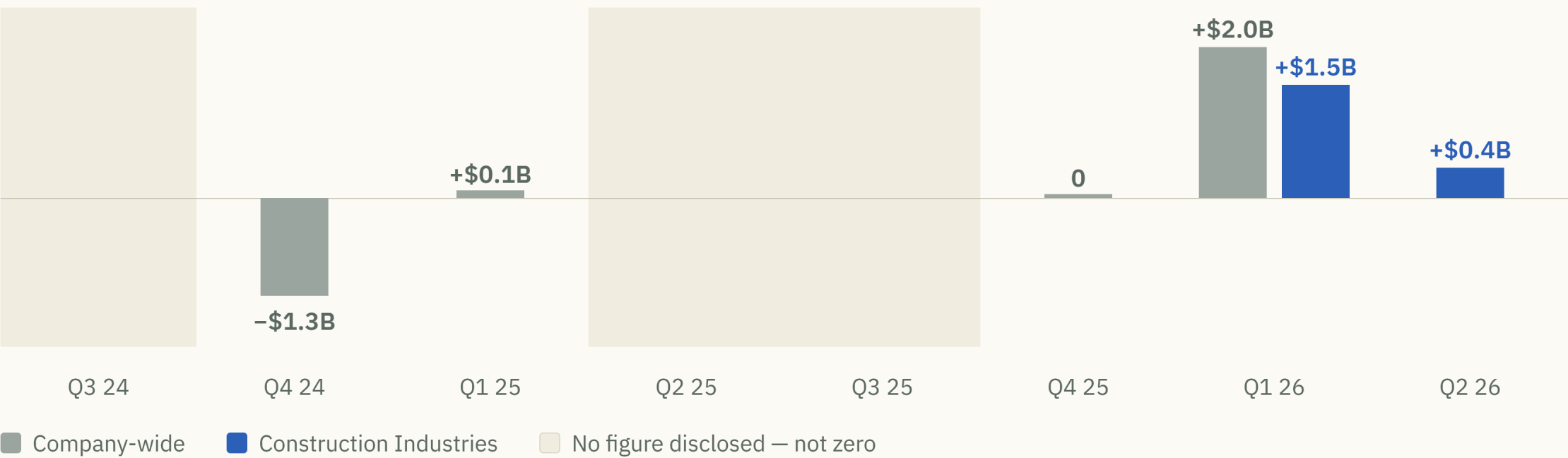
Disclosed Construction Industries dealer-inventory build, Q1 to Q2 2026

7% → 22%

Retail sales growth to end users, the same two quarters

Caterpillar's own explanation changed with it — dealer inventories named first in Q1, end users named first in Q2.

The disclosed dealer build collapsed to a quarter of its size



Three of eight quarters carry no disclosed figure; Q4 2025 was disclosed as flat. Segment-level dollars exist only for Q1 and Q2 2026, where the Construction Industries build is 75% of the company-wide figure.

DEMAND QUALITY

The gap between what Caterpillar shipped and what dealers sold closed

Price-adjusted Construction Industries shipment growth, less retail growth to end users. A wide gap is consistent with dealers stocking; a narrow one with machines reaching customers.

Q1 2026



24.3 pts

Q2 2026



7.8 pts

Q1 2025 is the control case

The same pattern runs the other way a year earlier. Retail sales to end users rose 3% while price-adjusted shipments fell 13.8%, as dealer accumulation slowed from +\$1.4B to +\$0.1B. That is why I read the gap as a directional signal rather than a story fitted to two quarters.

Directional, not a dollar measure — the two series differ in price basis, scope and the treatment of parts and services. Caterpillar earnings releases and Ex 99.2 retail sales statistics.

PRESSURE TEST

Does the directional read hold up?

I tested the gap-based estimate against the four quarters where Caterpillar disclosed a dealer-inventory change.

Construction Industries	Q1 2025	Q3 2025	Q1 2026	Q2 2026
Implied by the gap	−\$1,078M	+\$233M	+\$1,258M	+\$485M
Caterpillar disclosed	−\$1,300M	Increase	+\$1,500M	+\$400M
Scope	Company	—	Segment	Segment
Direction	Agrees	Agrees	Agrees	Agrees

Direction agrees in all four. Magnitude does not reconcile precisely — in Q1 2026 the gap-based estimate falls roughly \$290M short of the implied year-over-year swing. This is a directional proxy, not an accounting identity, and I do not present it as one.

Q1 2025 compares a segment-derived estimate against a company-wide disclosure; Q3 2025 is testable on direction only. Underlying workbook, Analysis tab.

OPERATING DRIVERS

Volume, not price, produced the 2026 growth

+\$1,755M

Volume contribution to Q2 2026 sales growth, out of \$2,156M reported

+\$356M

Price realization in Q1 2026 — the first positive quarter in the series

\$143M

Peak currency effect in any of the eight quarters — immaterial throughout

Price realization was negative in all six quarters from Q3 2024 through Q4 2025. Because volume carries the growth, where that volume went — to end users or into dealer inventory — decides whether it lasts. That is the question the previous three slides answer.

Caterpillar quarterly earnings releases, Construction Industries segment sales bridges, Q3 2024 – Q2 2026. All four components reconcile to the reported change with zero residual in the workbook.

FORWARD JUDGMENT

What this implies, and what would break it

If Caterpillar follows through on the expected dealer drawdown while end-user demand holds, stocking should contribute less to reported growth in H2 2026 — so reported growth should move closer to retail growth, or trail it during destocking. Stated as inference, not finding.

Strengthens the thesis

Retail growth stays elevated while dealer inventory growth keeps slowing or turns negative.

Weakens the thesis

Retail growth falls materially in H2 while inventories draw down — Q2's 22% was a spike.

Alternative reading

Tariff-driven price increases pulled purchases forward, inflating Q2 at the expense of H2.

What I expected to corroborate — and didn't

I expected inventory-heavy Q1 2026 growth to show up as unusually weak cash conversion. It didn't — Q1 2026 operating cash flow was stronger than Q1 2025. Cash flow does not independently confirm the thesis, and it is here because leaving it out would be selective.

HOW IT WAS BUILT

Every figure carries a source, a document and a classification

8

quarters analyzed, Q3 2024 –
Q2 2026

32 / 32

segment bridges reconcile to zero

0

assumed figures in the dataset

16

comparability issues logged
and tested

What the analysis cannot claim

- The reported-vs-retail gap is directional and relative, not a precise dealer-inventory dollar measure.
- Q2 2026 retail strength is a single observation and needs H2 confirmation.
- Segment-level dealer-inventory dollars are not disclosed continuously, so no unbroken eight-quarter series exists at either scope.

Quarterly earnings releases Q3 2024 – Q2 2026, Ex 99.2 retail sales statistics, and the Q1 and Q2 2026 Forms 10-Q. Management commentary not reproduced in a filing is identified as earnings-call commentary.